



FOR FREELANCERS & SELF-EMPLOYED IN PORTUGAL

The Portuguese Fiscal Year 2026

Every tax and Social Security deadline you need to know — explained in plain English.

OVERVIEW

Two authorities, one calendar.

As a freelancer (recibos verdes, category B) or a sole trader (ENI), you report to two bodies. What you owe, and when, depends on your VAT framework and your tax regime.

- **Tax Authority (AT)**

VAT (IVA) returns and payments · annual income tax (IRS, Modelo 3) · IRS payments on account.

- **Social Security**

A quarterly income declaration · monthly contributions based on your relevant income.

A NOTE ON INVOICES

If you use invoicing software, invoices must be reported to the AT by the 5th of each month (even a 'no invoices' report). If you issue green receipts directly on the AT Portal, it is automatic — the case for most freelancers.

THE 2026 YEAR AT A GLANCE

Your deadlines, quarter by quarter.

● VAT (IVA) ● Social Security ● Income tax (IRS) ● IRS payment on account

Q1 Jan – Mar	Q2 Apr – Jun	Q3 Jul – Sep	Q4 Oct – Dec
JAN ● Social Security declaration (by 31)	APR ● IRS Modelo 3 opens (1 Apr) ● Social Security declaration (by 30)	JUL ● IRS 1st payment on account (20) ● Social Security declaration (by 31)	OCT ● Social Security declaration (by 31)
FEB ● VAT — Q4 2025 (file 20, pay 25)	MAY ● VAT — Q1 2026 (file 20, pay 25)	AUG ● VAT — Q2 2026 (file 20, pay 25)* ● IRS payment due (31 Aug)	NOV ● VAT — Q3 2026 (file 20, pay 25)
MAR ● Monthly Social Security payment	JUN ● IRS Modelo 3 closes (30 Jun)	SEP ● IRS 2nd payment on account (20)	DEC ● IRS 3rd payment on account (20)

* Q2 VAT deadline is usually extended into late August. Social Security contributions are paid every month, between the 10th and the 20th.

Value Added Tax (IVA).

Your VAT framework decides what you file. Most freelancers are in the quarterly regime — the schedule on the right.

- Normal — monthly — For higher-turnover activity. Periodic return and payment by the 20th / 25th of the second month.
- Normal — quarterly — The common regime for freelancers. Four filings a year (table below).
- Exemption — art. 53 — Below the legal threshold: you do not charge VAT and do not file periodic VAT returns.

QUARTERLY REGIME — 2026

PERIOD	FILE BY	PAY BY
Q4 2025	20 Feb 2026	25 Feb 2026
Q1 2026	20 May 2026	25 May 2026
Q2 2026	20 Aug 2026*	25 Aug 2026*
Q3 2026	20 Nov 2026	25 Nov 2026

* Subject to the August fiscal-holiday extension.

TAX AUTHORITY (AT) — INCOME TAX

Income tax (IRS).

ANNUAL RETURN — MODELO 3

- **Filing window** 1 Apr – 30 Jun 2026
- **Assessment by the AT** by 31 Jul 2026
- **Tax payment** by 31 Aug 2026
- **Instalment request** by 15 Sep, for debts up to €5,000

PAYMENTS ON ACCOUNT

Three instalments toward next year's tax. They apply whether you are in the simplified or the organised regime, and the AT calculates them from your IRS two years back — so the 2026 instalments are based on your 2024 IRS.

- **1st — by 20 July 2026**
- **2nd — by 20 September 2026**
- **3rd — by 20 December 2026**

SOCIAL SECURITY — DECLARATIONS

Declare quarterly, pay monthly.

QUARTERLY INCOME DECLARATION

DECLARE BY	REPORTING ON	CONTRIBUTIONS FOR
31 Jan 2026	Oct–Dec 2025	Jan–Mar 2026
30 Apr 2026	Jan–Mar 2026	Apr–Jun 2026
31 Jul 2026	Apr–Jun 2026	Jul–Sep 2026
31 Oct 2026	Jul–Sep 2026	Oct–Dec 2026

- Annual declaration: by 31 Jan, to confirm or correct the income reported during the previous year.
- Corrections: you may replace a declaration up to the 15th after each quarterly deadline (15 Feb, 15 May, 15 Aug, 15 Nov).

GOOD TO KNOW

- Your first 12 months of activity are exempt from contributions.
- No income in a quarter? You still file — a €20/month minimum applies.
- Foreign citizens: getting a Social Security number (NISS) has become harder; using a specialist is recommended.

EXEMPT FROM THE QUARTERLY DECLARATION

If you are also employed (category A) earning at least the IAS, and your average monthly self-employed income is below four times the IAS. Disability and old-age pensioners are also exempt.

SOCIAL SECURITY — CONTRIBUTIONS

How your contribution is calculated.

THE NUMBERS

- Rate: 21.4% for most freelancers; 25.2% for a sole trader (ENI).
- Base: one third of your relevant income for the period.
- Payment: monthly, between the 10th and the 20th of the following month.
- Ceiling: the base is capped at twelve times the IAS — €6,445.56/month in 2026 — so the maximum contribution is about €1,379.02/month.

ADJUSTING YOUR CONTRIBUTION

- You can move the declared amount in 5% steps, up to 25% up or down.
- Lowering it reduces your future pension and unemployment benefits proportionally; raising it increases them.

THE EXACT FIGURE

The monthly amount comes from an official formula — not the direct rates here. We recommend a case-by-case analysis and calculate your exact figure with you.

CHOOSING YOUR REGIME • 1 OF 2

The simplified regime.

Your income is category B. The simplified regime applies a fixed coefficient to your turnover to find your taxable income — then the progressive personal IRS rates apply to that amount.

ACTIVITY	TAXABLE / COSTS
Services (art. 151), up to €27,360/yr	75% / 25%
Services (art. 151), above €27,360/yr	85% / 15%
Sale of goods	15% / 85%
Restaurants & hospitality	35% / 65%

The €27,360 threshold can change each year. In the 85% bracket, the 15% deemed-cost share can be increased slightly where you have directly-related expenses, justified to the AT.

START-OF-ACTIVITY REDUCTION

If you register in Portugal for the first time and earn category B income only (no category A salary), you get an extra:

50% reduction in year 1

25% reduction in year 2

Organised accounting.

Instead of coefficients, your tax is based on your real result — the same way a company is taxed.

- By choice — you can opt in from the start of activity — or by obligation.
- Mandatory once your turnover passes €250,000 in one year, or €200,000 in two consecutive years.
- Your taxable income is your real profit: all income minus directly-related, documented expenses, with a Balance Sheet and Profit & Loss.
- A certified accountant is required.

WHICH REGIME?

There is no universal answer. The right choice depends on your activity and a careful cost-benefit analysis — a conversation worth having before you decide.

Not sure which fits you? Book a call and we'll work out the numbers together.

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IF YOU MISS A DEADLINE

What non-compliance costs.

- Late IRS: a fine of €25 to €3,750, plus costs.
- Other tax infractions: fines from €150 upward, rising much higher in VAT cases.
- Late Social Security: a minor offence becomes serious after 30 days; interest, coercive collection, and criminal proceedings (for large amounts) can follow.
- Interest accrues daily on any overdue tax.
- Your tax-clearance certificate is blocked — which can block financing and public tenders.
- You may be added to the public list of tax debtors, and lose deductions or delay refunds.

TALK TO US

**Let us keep you on top
of every deadline.**

The first conversation is free and with
no obligation.

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